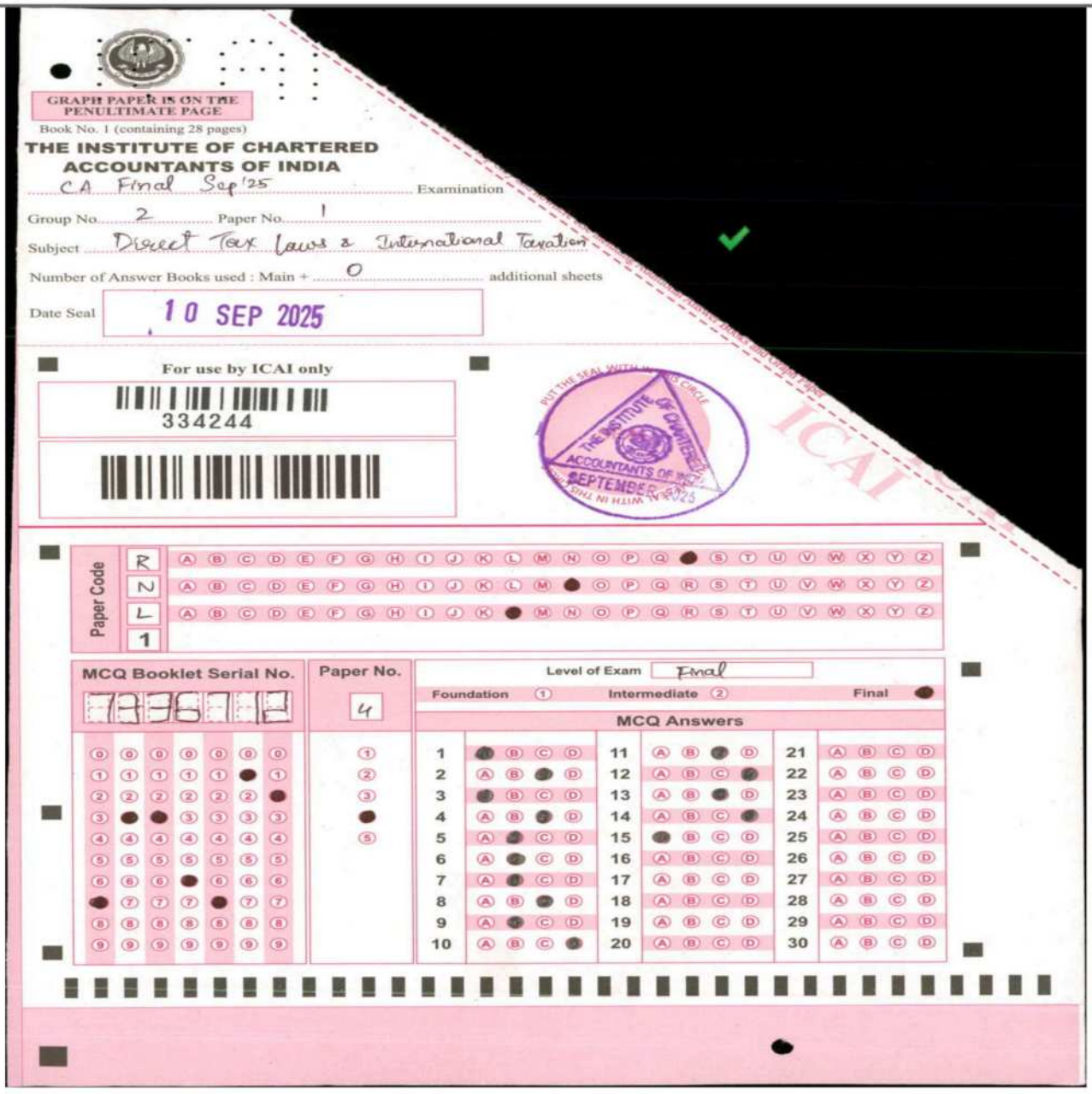
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Code: FN4DT334244 **Total Marks:** 70

Subject : 04 Direct Tax Laws and International Taxation **Marks Obtained :** 50



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Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

CA Final Sep '25 Examination

Group No. 2 Paper No. 1

Subject Direct Tax Laws & International Taxation

Number of Answer Books used : Main + 0 additional sheets

Date Seal 10 SEP 2025

For use by ICAI only

334244

Paper Code: R N L 1

MCQ Booklet Serial No.

Paper No. 4

Level of Exam: Final (Foundation ① Intermediate ② Final ●)

MCQ Answers

1	B	11	D	21			
2	D	12	C	22			
3	A	13	D	23			
4	C	14	C	24			
5	B	15	A	25			
6	B	16		26			
7	B	17		27			
8	C	18		28			
9	B	19		29			
10	C	20		30			

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Code: FN4DT334244 **Total Marks:** 70
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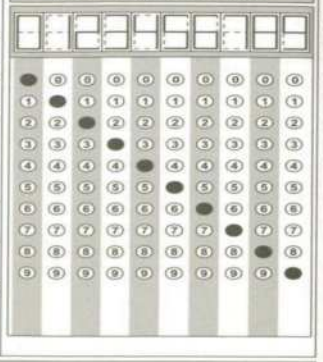
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Illustration for Filling the MCQ Booklet Serial No.



...UCTIONS TO THE CANDIDATE FOR FILLING THE MCQ ANSWER FIELDS

...I.B. Pencil to Darken the appropriate Circle.

...nd darken the correct MCQ Booklet Serial No. as printed on your question booklet which will be taken as final for evaluation.

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Please darken the complete circle.

4. If you want to change your Answer, erase the darkened circle completely and make a fresh mark.
5. Please do NOT make any stray marks on the OMR cover page.
6. Rough work must NOT be done on the OMR cover page.
7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers



Q. No.	To be ticked ✓ by the candidate against the Questions answered (Descriptive Type)		
1	✓	8	
2	✓	9	
3	✓	10	
4	✓	11	
5		12	
6	✓	13	
7		14	
Total		Total	

03

Q2) a)i) M/s PR Associates will be liable to tax at normal slab rates u/s 115BAC since total income of its members is below maximum amount not chargable to tax

Tax liability of M/s PR Associates:

Particulars	₹
Total Income	11,80,000
Tax liability	
At slab rates: [(11,80,000 - 10,00,000) × 15% + 50,000]	77,000
(+) Health & education cess @ 4% (HEC)	3,080
Tax liability	80,080

Tax liability of Mr. R for AY 2025-26:

Particulars	₹
Share income from AOP (11,80,000 × 35%)	4,13,000
Other income	2,97,000
Total income	7,10,000
Tax thereon:	
At slab rates: [(7,10,000 - 700000) × 10% + 20,000]	21,000
(-) Marginal relief (21,000 - 10,000)	(11,000)
~~[(21,000 - 10000) 0) + 10,000 (21,000 - 10,000)]~~	
	10,000
(+) HEC @ 4%	400
	10,400
(-) Rebate u/s 86 $\left[\frac{10,400}{7,10,000} \times 4,13,000\right]$	(6,050)
Net tax liability	4,350

2aiStep1 2.5

2ai 2.5

04

ii) 1) Buyback

Since buyback has been made on or after 1/10/24, the amount received by Mr. Bhavesh will be treated as deemed dividend u/s 2(22)(f) and taxable under income from other sources.

Deemed dividend = 1,000 × 550 = ₹5,50,000

Further cost of acquisition (COA) of such shares will be treated as capital loss:

Full value of consideration (FVOC) —

(-) COA (1,000 × 50) (50,000)

(No indexation allowed since transfer has been made on or after 23/7/2024)

Long term capital loss (50,000)

2) Liquidation

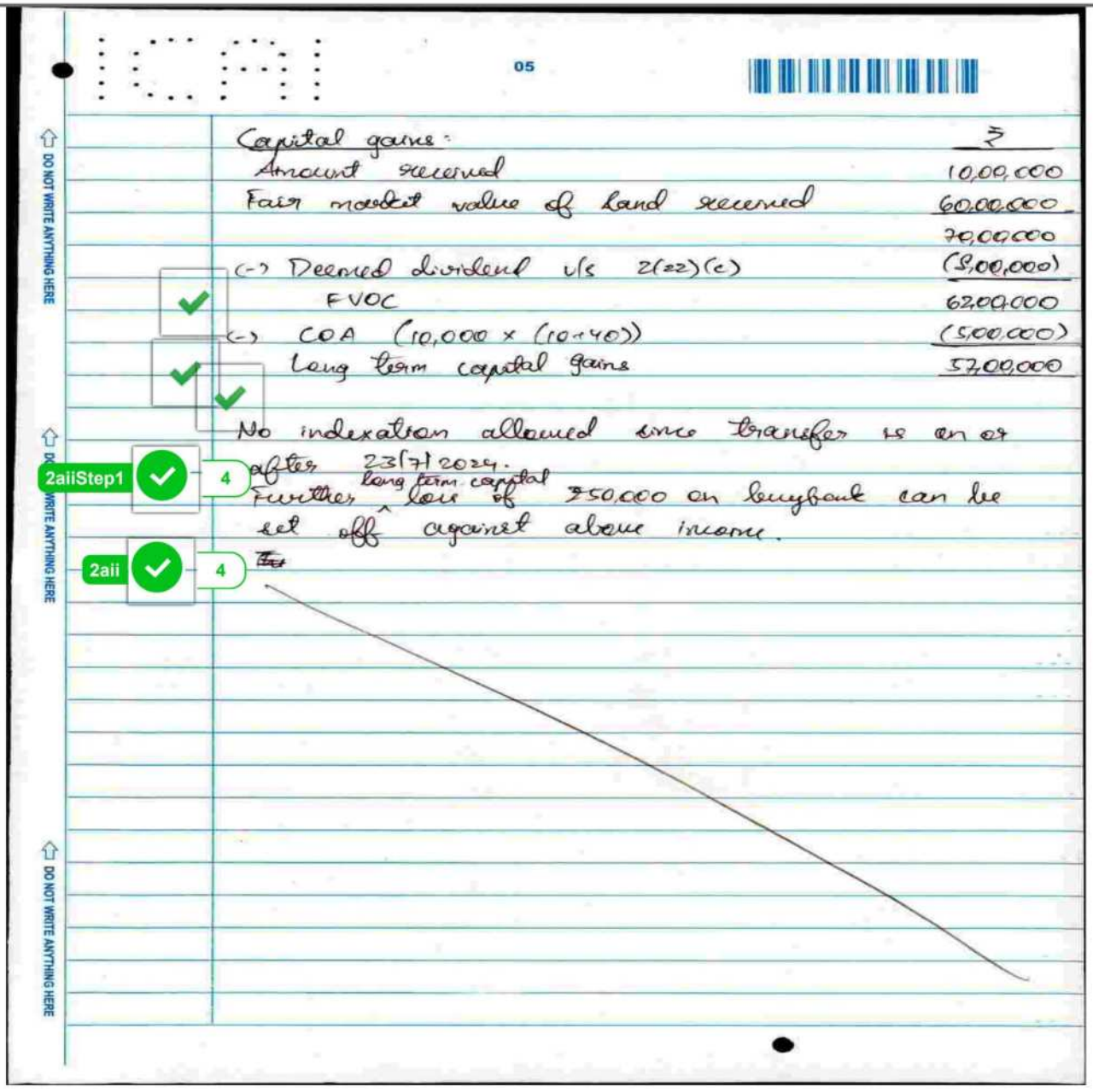
Amount received on liquidation shall be treated as deemed dividend u/s 2(22)(c) to the extent of accumulated profits of the company (capitalised or not) ~~Deemed dividend~~ Amount received

Share of accumulated profits = ₹8,00,000 × 10,000 / 1,00,000

= ₹80,000

Deemed dividend = ₹80,000

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05

Capital gains:	₹
Amount received	10,00,000
Fair market value of land received	60,00,000
	70,00,000
(-) Deemed dividend u/s 2(22)(c)	(8,00,000)
FVOC	62,00,000
(-) COA (10,000 × (10+40))	(5,00,000)
Long term capital gains	57,00,000

No indexation allowed since transfer is on or after 23/7/2024.
Further, long term capital loss of ₹50,000 on buyback can be set off against above income.

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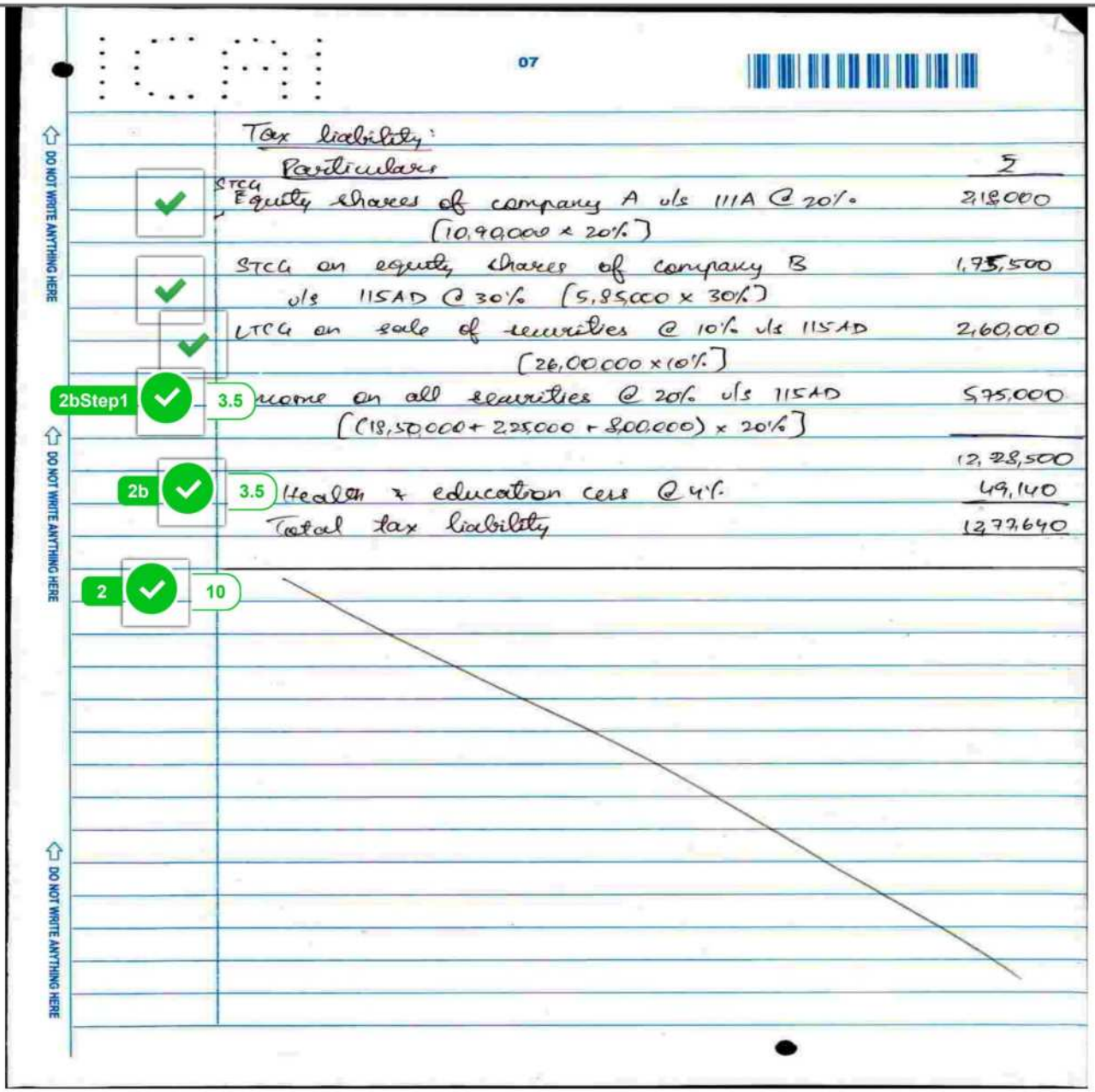
06

b) Total income & tax liability of M/s Bills Inc for AY 2025-26:

Particulars	₹	₹
Capital Gains:		
~~Foll~~ Company A (Short term)		
Full ~~ve~~ value of consideration (FVOC)	16,90,000	
(-) Cost of acquisition (COA)	(6,00,000)	10,90,000
Company B (Short term)		
FVOC	11,50,000	
(-) COA	(5,65,000)	5,85,000
Sale of securities (Long term)		
FVOC	55,00,000	
(-) COA	(29,00,000)	26,00,000
(No indexation allowed since transfer is after 22/07/2024)		
Income on securities		
Investment in Rupee Denominated Bonds (RDB)		1,8,50,000
Dividend income		2,25,000
Interest on other securities		8,00,000
Total Income		71,50,000

STCG → Short term capital gain
LTCG → Long term capital gain

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07

Tax liability:

Particulars	₹
STCG Equity shares of company A u/s 111A @ 20% [10,90,000 × 20%]	2,18,000
STCG on equity shares of company B u/s 115AD @ 30% [5,85,000 × 30%]	1,75,500
LTCG on sale of securities @ 10% u/s 115AD [26,00,000 × 10%]	2,60,000
Income on all securities @ 20% u/s 115AD [(18,50,000 + 2,25,000 + 8,00,000) × 20%]	5,75,000
	12,28,500
Health & education cess @ 4%	49,140
Total tax liability	12,77,640

2bStep1 ✓ 3.5 2b ✓ 3.5 2 ✓ 10

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Q4) b) i) As per section 92A of Income Tax Act, 1961, two enterprises shall be deemed to be associated enterprises (AE) if either one of them holds 26% or more of the voting power of the other.

4bStep1 1 Here Robert Inc. holds 30% shareholding & voting power in Beta Ltd, they shall be deemed to be AE.

ii) Particulars ₹

Arm's length price (ALP) determined by officer $9,80,000
[700 pcs × USD 1400]

(-) Price actually charged ($7,70,000)
[700 pcs × USD 1100]

Primary adjustment $2,10,000

Since Beta Ltd. has accepted the enhancement made by transfer pricing officer (TPO), ~~₹~~ the primary adjustment amount of $2,10,000 shall be ~~done~~ repatriated back to India within 90 days of the date of receipt of order of TPO.
Else, ~~a~~ section 92CE will be attracted, deeming the unrepatriated amount as a loan to AE on which interest ~~will be charged~~ at the rate of 6 months LIBOR (on September 30 of previous year) + 3% p.a, will be deemed to be the income of Beta Ltd.

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Other option available to the company is to pay additional tax @ 20.9664% (18% + Surcharge @ 12% + cess @ 4%) on the primary adjustment amount to avoid ~~accrual of interest~~ repatriation and deemed accrual of interest income.

4bStep2 2

4b 3

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10

Q4) a) i) As per section 194-IA, TDS shall be deducted at the rate of ~~higher of~~ 1% of sale consideration or stamp duty value (SDV), whichever is higher on purchase of immovable property, where the amount is ₹50,00,000 or more.

~~Further, amount~~

Further, in ~~case~~ ~~of~~ given case, Mr. A & Mrs. A have jointly purchased a flat ~~of~~ for ₹86 lakhs and paid additional charges. All such charges and amount paid jointly by Mr. A & Mrs. A shall be considered for determining applicability of TDS.

Computation of TDS u/s 194-IA:

~~Sale~~ Purchase consideration	86,00,000
(1) Car parking	4,00,000
(2) Generator cost	2,50,000
(3) Swimming pool	1,50,000
Consideration (I)	94,00,000
SDV (II)	75,00,000
Higher of I & II	94,00,000
TDS @ 1% on 94,00,000	94,000

Therefore total TDS ~~to~~ ~~to~~ of ₹94,000 ~~to~~ be jointly deducted by Mr. A & Mrs. A on payment to M/s XYZ Builders i.e. 47,000 deducted by both of them individually.

4aiStep1 2

4ai 2

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ii) TDS to be deducted u/s 192:

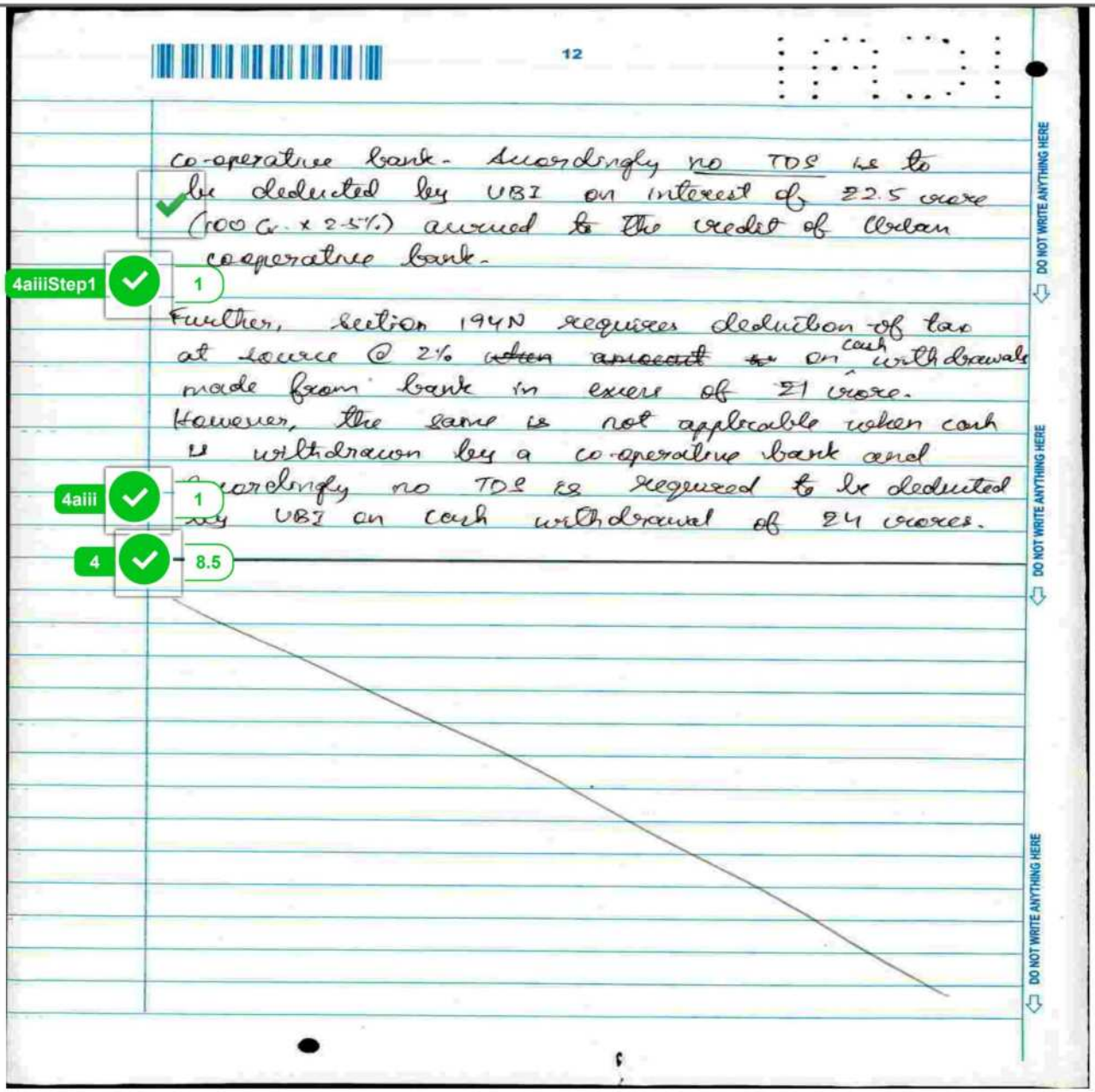
Particulars	₹	₹
Gross salary	37,50,000	
(-) Standard deduction u/s 16	(75,000)	~~36,75,000~~
	~~36,75,000~~	36,75,000
~~(-) Loss from~~		
Interest accrued on FDR		60,000
Total Income		37,35,000
Tax thereon:		
At slab rate: [(37,35,000 - 1500000) × 30% + 1,40,000]		9,10,500
+ Health & education cess @ 4%.		32,420
~~Total~~		
Net tax liability		9,42,920
(-) TDS deducted by bank u/s 194A (60,000 × 10%)		(6,000)
(-) TCS paid u/s 206C(1F) on motor car purchase (3200000 × 1%)		(32,000)
Tax TDS to be deducted by M/s PPN Ltd. u/s 192		8,04,920

4aiiStep1 2.5

4aii 2.5

No loss ~~on~~ ~~to~~ on self occupied property is allowed under default tax regime of section 115BAC.

iii) As per section 194A, TDS is required to be deducted @ 10% on interest from FDRs when amount exceeds ₹40,000. However, no TDS is attracted when the interest is paid to a



12

co-operative bank. Accordingly no TDS is to be deducted by UBI on interest of ₹2.5 crore (100 Cr. × 2.5%) accrued to the credit of Urban co-operative bank.

4aiiiStep1 ✓ 1

Further, Section 194N requires deduction of tax at source @ 2% ~~when amount is~~ on cash withdrawals made from bank in excess of ₹1 crore. However, the same is not applicable when cash is withdrawn by a co-operative bank and accordingly no TDS is required to be deducted by UBI on cash withdrawal of ₹4 crores.

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13

Q6) a) As per section 94B, when interest paid to a non-resident associated enterprise (NRAE) in a year exceeds ₹1 crore, the amount of interest in excess of 30% of EBITDA is disallowed for the purpose of computation of total income.

Section 94B shall also apply when, interest payment is made to an unrelated enterprise but when a NRAE provides an implicit or explicit guarantee to such unrelated enterprise or deposits a corresponding or matching amount with such unrelated enterprise.

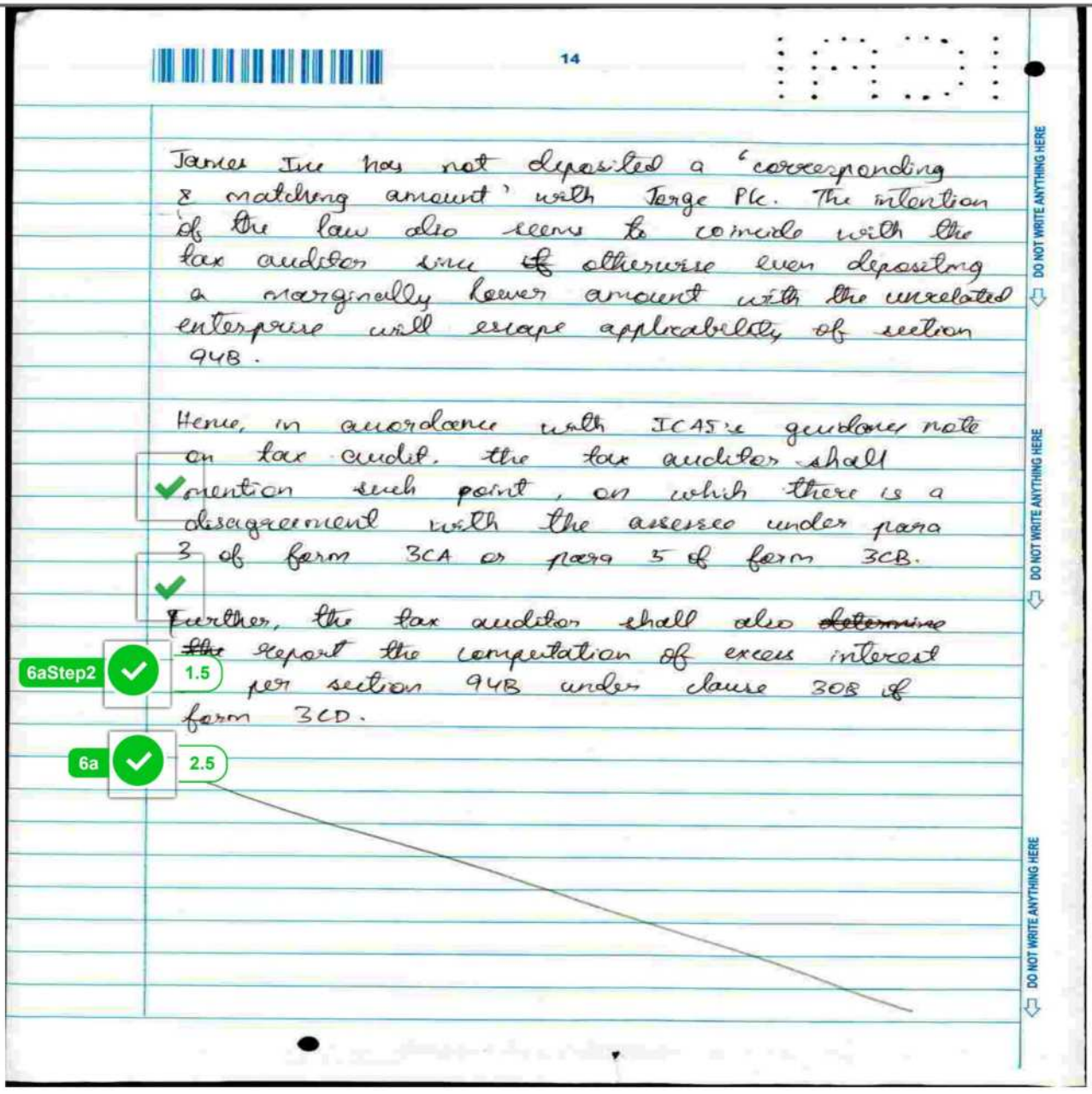
6aStep1 1

In the given case, ABC Ltd. has paid an interest of ₹95 lakhs to James Inc. (NRAE) on loan borrowed. It holds less than 26% voting power in Jorge Plc & accordingly Jorge Plc is not a NRAE u/s 92A.

Loan borrowed from Jorge Plc is ₹5 crores whereas James Inc. (NRAE) has deposited only ₹2 crores with Jorge Plc. Accordingly, the tax auditor contends that ₹20 lakhs (10% of 2 crore) ~~shall~~ of interest is also included for determining applicability of section 94B & section 94B is now applicable. (Total interest = 90 + 20 = 110 lakhs)

However, ABC Ltd. contends that ~~it has not~~

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14

James Inc has not deposited a 'corresponding & matching amount' with Targe Plc. The intention of the law also seems to coincide with the tax auditor since ~~if~~ otherwise even depositing a marginally lower amount with the unrelated enterprise will escape applicability of section 94B.

Hence, in accordance with ICAI's guidance note on tax audit, the tax auditor shall mention such point, on which there is a disagreement with the assessee under para 3 of form 3CA or para 5 of form 3CB.

Further, the tax auditor shall also ~~determine~~ ~~the~~ report the computation of excess interest per section 94B under clause 30B of form 3CD.

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6a 2.5

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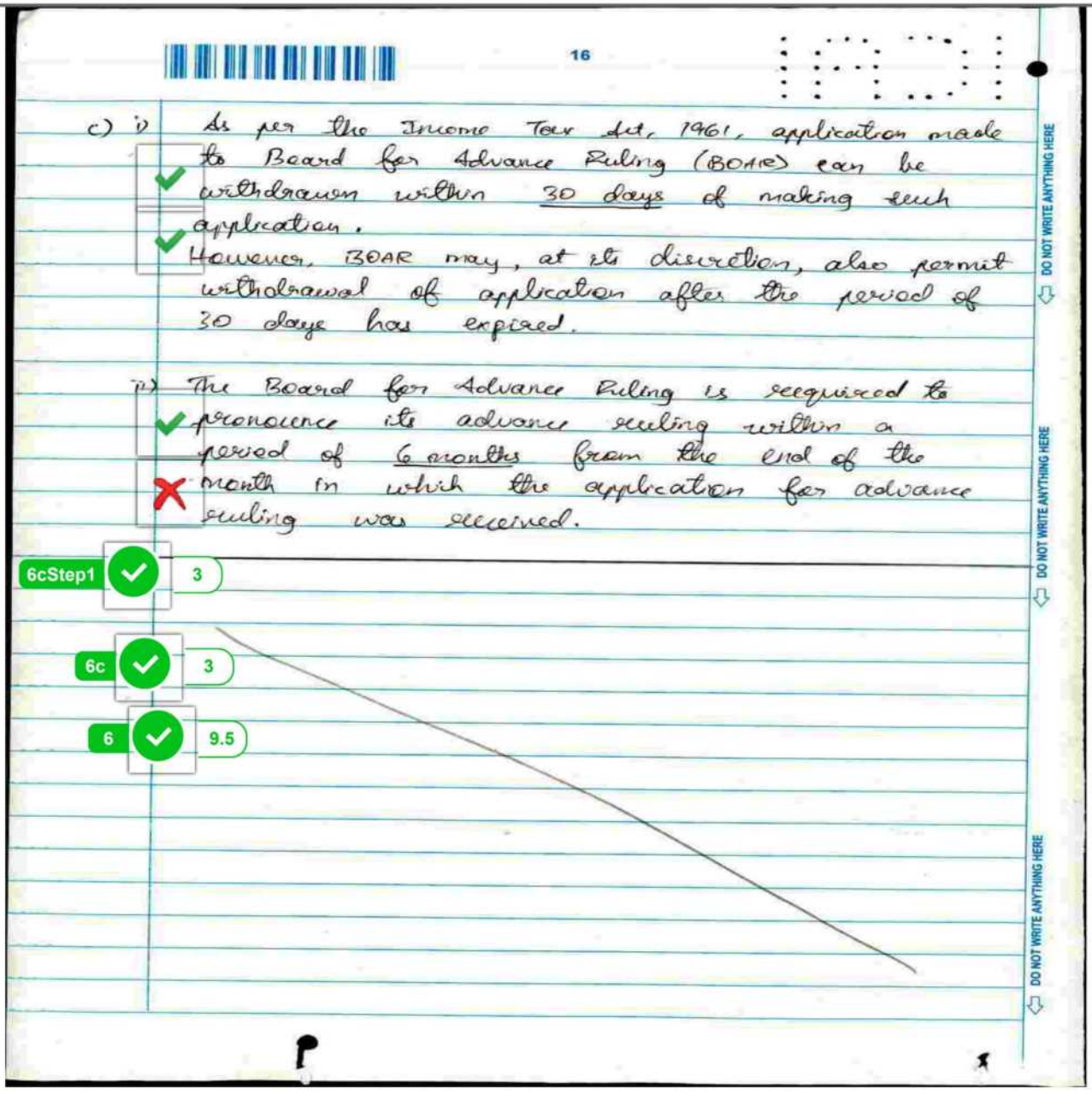
b) i) Tax evasion: A credit note of ₹ 75,000 as commission was issued by SR Ltd. to Mr. Kapil (son of Managing Director of the company) even though no services were rendered by Mr. Kapil to the company, with a view to decrease the tax liability of the company & increase the tax liability of Mr. Kapil. The same is prima facie a case of tax evasion since falsifying amounts and issue of doctored documents are employed to illegaly escape payment of tax.

ii) Tax compliance: Obtaining ~~& submitting~~ form 15G/15H from vendors as and submitting to prescribed income tax authorities is an action of routine tax compliance to ensure avoiding any non-compliance which may cause imposition of penalties.

6bStep1 4

6b 4

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16

c) i) As per the Income Tax Act, 1961, application made to Board for Advance Ruling (BOAR) can be withdrawn within 30 days of making such application.
However, BOAR may, at its discretion, also permit withdrawal of application after the period of 30 days has expired.

ii) The Board for Advance Ruling is required to pronounce its advance ruling within a period of 6 months from the end of the month in which the application for advance ruling was received.

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6c 3

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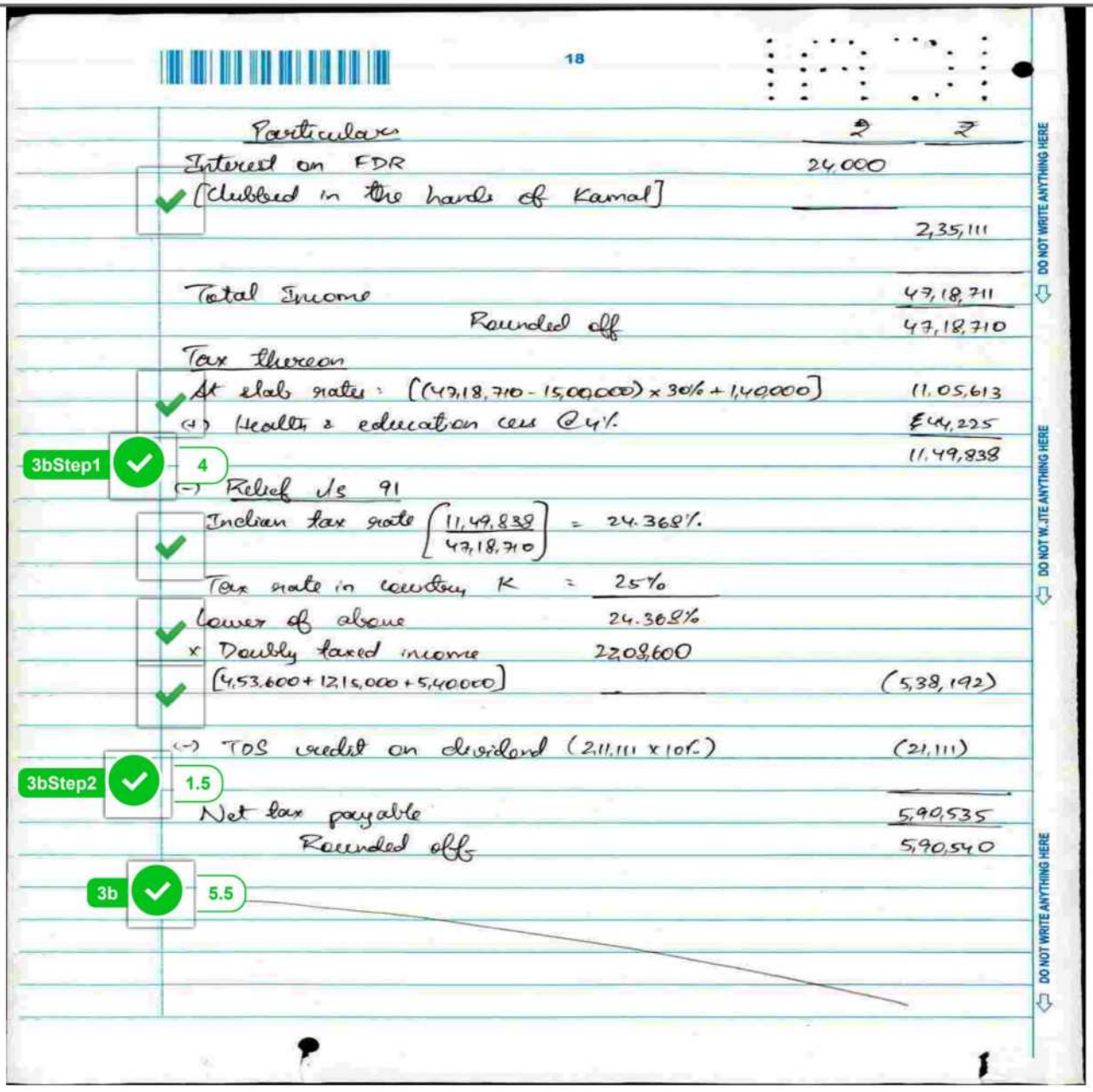
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Q3) b) Computation of total income & tax liability of Mr. Kamal Sharma for AY 2025-26:

Particulars	₹	₹
I. Salary		
Gross salary	23,50,000	
(-) Standard deduction u/s 16	(75,000)	
		22,75,000
II. Income from House Property		
[Loss of ₹220,000 on self occupied property is not allowed under section 115BAC].		
Gross Rent from House Property in country K (8,000 × 90)	7,20,000	
(-) Municipal taxes (800 × 90)	(72,000)	
Net Annual Value	6,48,000	
(-) Standard deduction u/s 24(a) @ 30%.	(1,94,400)	
		4,53,600
III. Income from Business		
Business in country K (13,500 × 90)		12,15,000
IV. Capital gains		
Short term capital gains on sale of shares of company in country K [6,000 × 90]		5,40,000
V. Income from Other Sources		
Dividend from Indian companies [1,90,000 ÷ 90%] (TDS u/s 194)	211.11	



18

Particulars	₹	₹
Interest on FDR	24,000	
[Clubbed in the hands of Kamal]		2,35,111
Total Income		47,18,711
Rounded off		47,18,710
Tax thereon		
At slab rates : [(47,18,710 - 15,00,000) x 30% + 1,40,000]		11,05,613
(+) Health & education cess @4%		44,225
		11,49,838
(-) Relief u/s 91		
Indian tax rate [11,49,838 / 47,18,710] = 24.368%		
Tax rate in country K = 25%		
Lower of above	24.368%	
x Doubly taxed income [4,53,600 + 12,15,000 + 5,40,000]	22,08,600	(5,38,192)
(-) TDS credit on dividend (2,11,111 x 10%)		(21,111)
Net tax payable		5,90,535
Rounded off		5,90,540

3bStep1 ✓ 4

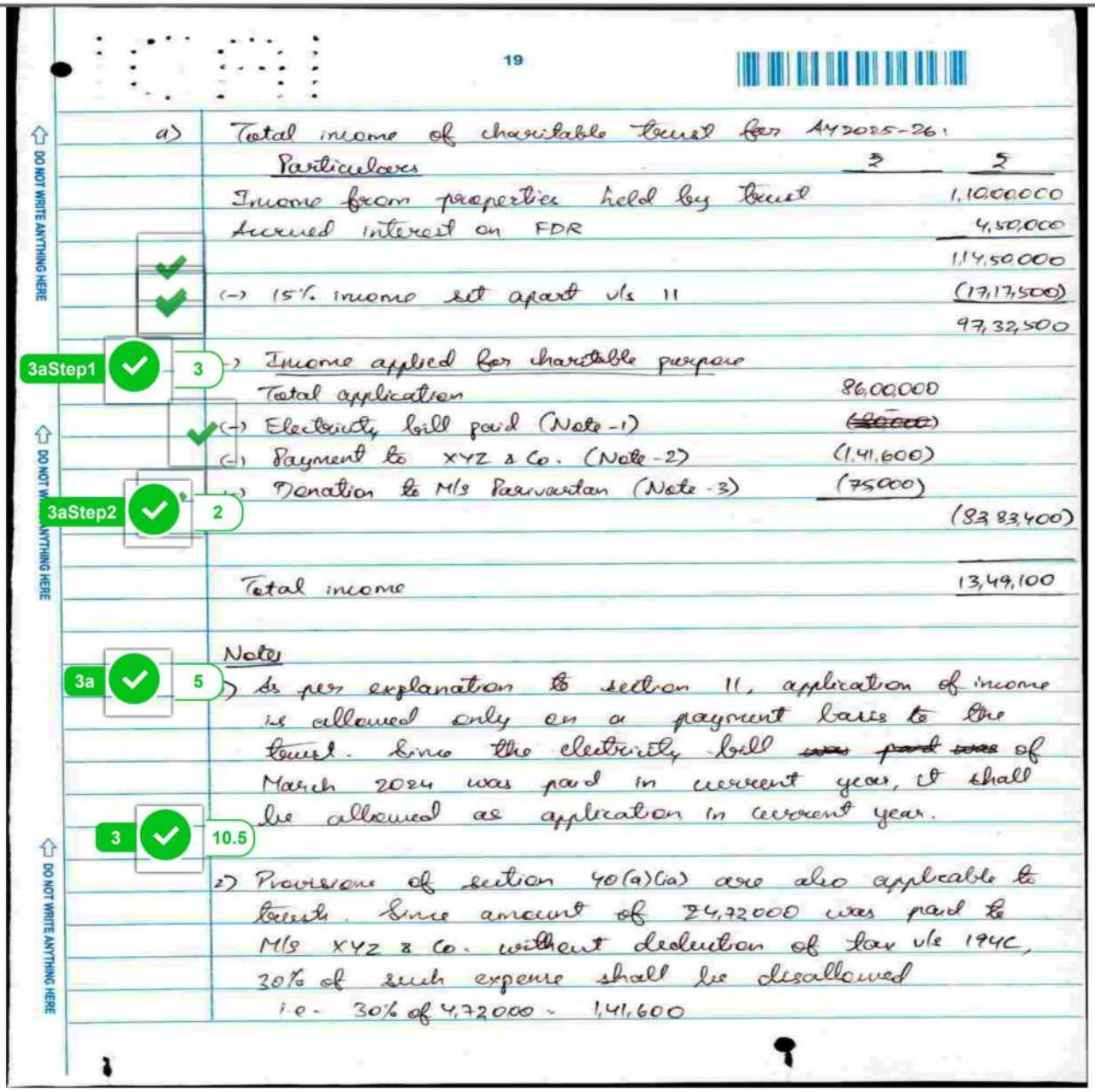
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3b ✓ 5.5

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19

a) Total income of charitable trust for AY 2025-26:

Particulars	₹	₹
Income from properties held by trust		1,10,00,000
Accrued interest on FDR		4,50,000
		1,14,50,000
(-) 15% income set apart u/s 11		(17,17,500)
		97,32,500
(-) Income applied for charitable purpose		
Total application	86,00,000	
(-) Electricity bill paid (Note-1)	~~(80,000)~~	
(-) Payment to XYZ & Co. (Note-2)	(1,41,600)	
(-) Donation to M/s Parivartan (Note-3)	(75,000)	
		(83,83,400)
Total income		13,49,100

Note:

1) As per explanation to section 11, application of income is allowed only on a payment basis to the trust. Since the electricity bill ~~was paid was~~ of March 2024 was paid in current year, it shall be allowed as application in current year.

2) Provisions of section 40(a)(ia) are also applicable to trusts. Since amount of ₹4,72,000 was paid to M/s XYZ & Co. without deduction of tax u/s 194C, 30% of such expense shall be disallowed
i.e. 30% of 4,72,000 = 1,41,600

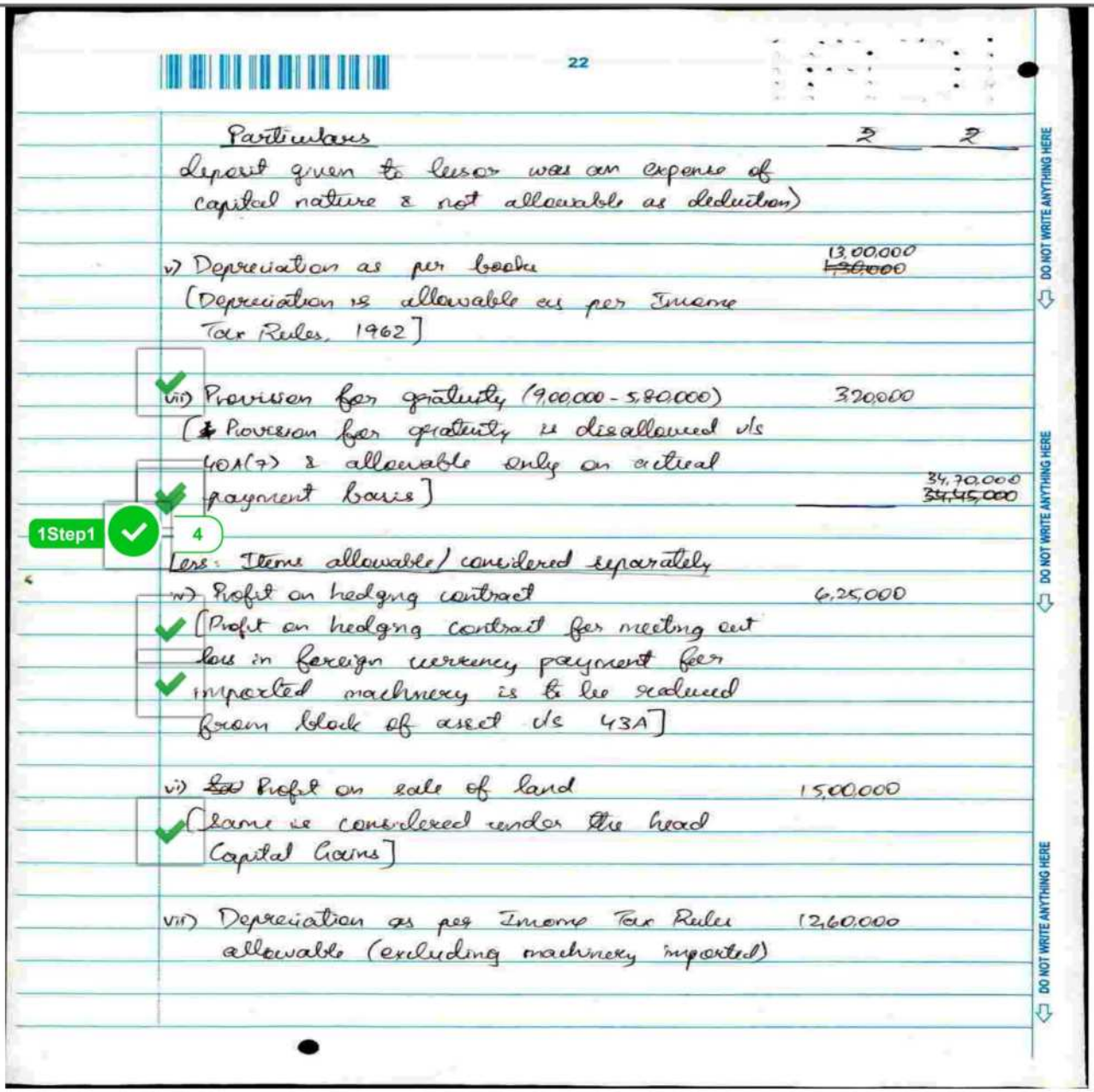
3) Donation to M/s Parivartan, another trust, shall be treated as application only to the extent of 85%. Therefore, amount disallowed = 15% × 5,00,000 = 75,000

4) Corpus donation received by the trust of ₹3,00,000 shall not be taxable.
Further, since ₹3,00,000 for construction of playground for poor children was made out of such corpus fund, it shall not be allowed as an application in the current year.

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Q1) Computation of total income of M/s PQR Pvt Ltd. for AY 2025-26:

Particulars	₹	₹
I. Profit & gains from business / Profession (PGBP)		
Net profit as per books of accounts		97,38,000
Add: Items disallowed / considered separately		
i) Foreign travel expenditure of directors (The same shall be disallowed since it is related to an unrelated business (plastic products as compared to current business of leather products) and shall be treated as capital expenditure)	12,00,000	
ii) Payment to M/s Shiv traders (As per section 43B(h), expenditure shall be disallowed in current year & allowed in the year of payment if payment is made to a micro enterprise beyond agreed due date (not being more than 45 days). Since payment was made to the party in 44 days (16.03.2025 to 29.04.2025), it shall be allowed)	-	
iii) Security deposit foregone (As per Supreme Court decision in case of Mahle Anand Filter Systems Pvt Ltd.; it was held that foregoing security	6,50,000 ~~6,25,000~~	

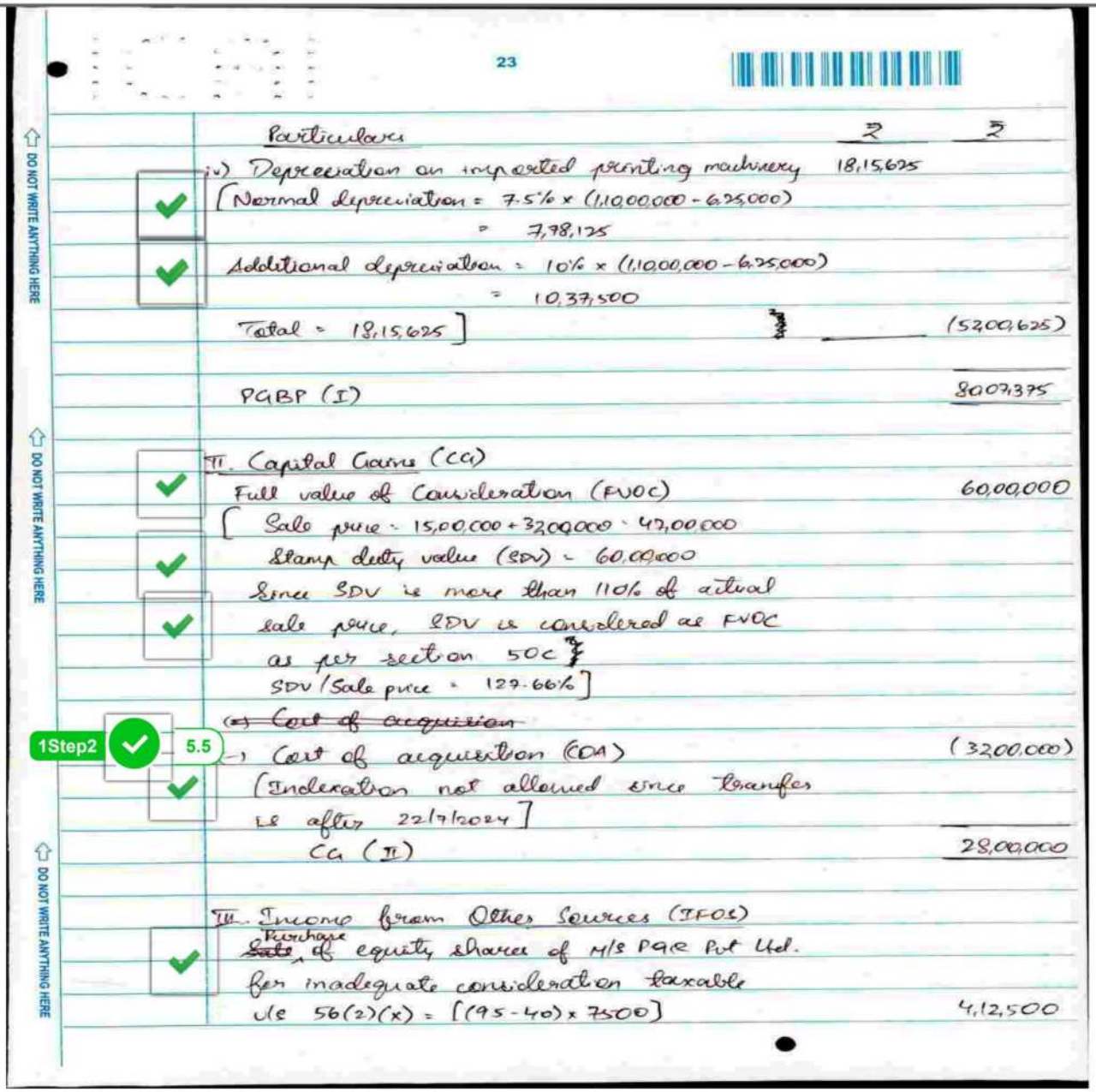


22

Particulars	₹	₹
Deposit given to lessor was an expense of capital nature & not allowable as deduction)		
v) Depreciation as per books [Depreciation is allowable as per Income Tax Rules, 1962]	13,00,000 ~~1,30,000~~	
vii) Provision for gratuity (9,00,000 - 5,80,000) [Provision for gratuity is disallowed u/s 40A(7) & allowable only on actual payment basis]	3,20,000	34,70,000 ~~34,45,000~~
Less: Items allowable / considered separately		
iv) Profit on hedging contract [Profit on hedging contract for meeting out loss in foreign currency payment for imported machinery is to be reduced from block of asset u/s 43A]	6,25,000	
vi) ~~Loss~~ Profit on sale of land [Same is considered under the head Capital Gains]	15,00,000	
viii) Depreciation as per Income Tax Rules allowable (excluding machinery imported)	12,60,000	

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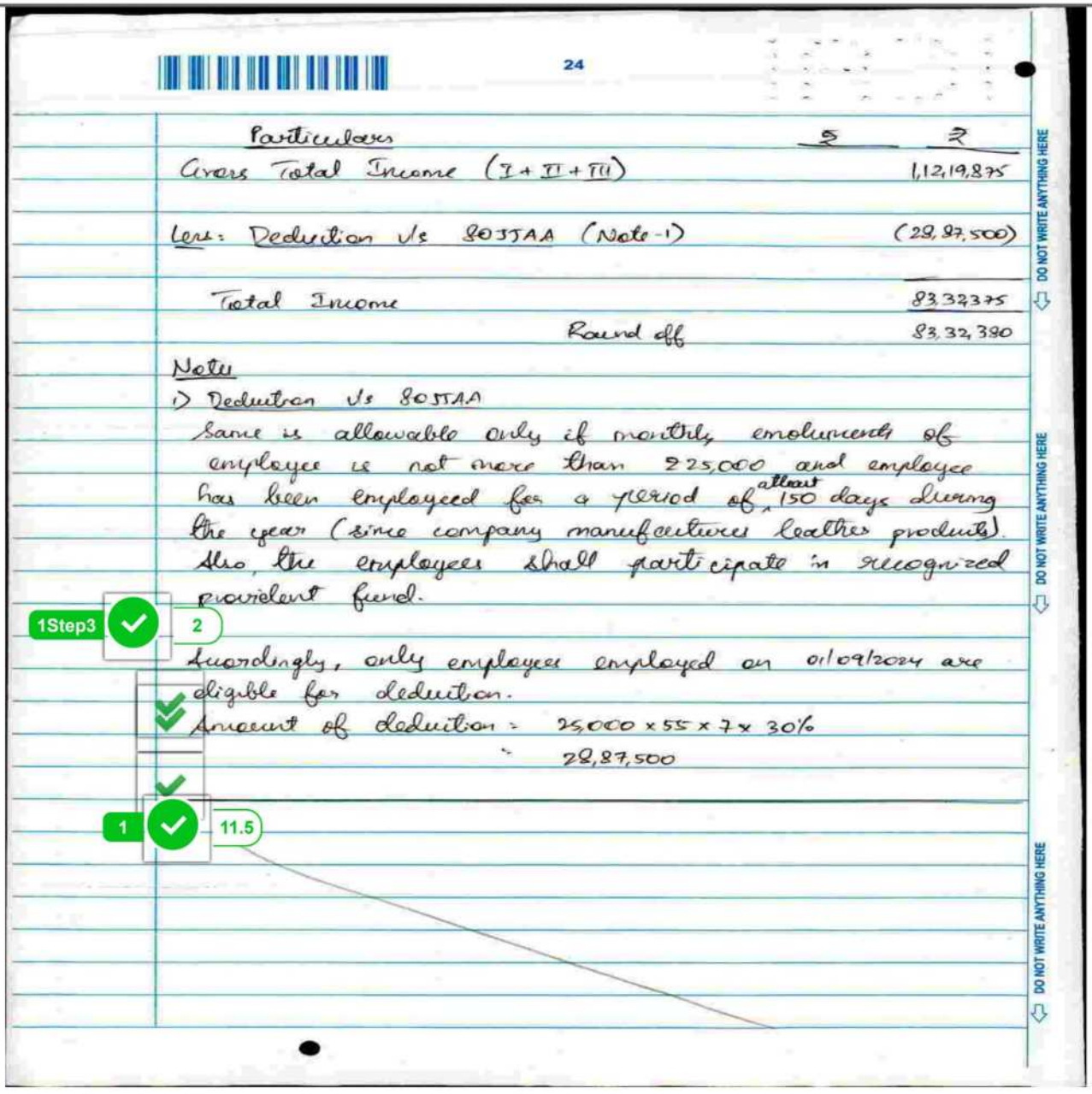


23

Particulars	₹	₹
iv) Depreciation on imported printing machinery	18,15,625	
[Normal depreciation = 7.5% x (1,10,00,000 - 6,25,000) = 7,98,125		
Additional depreciation = 10% x (1,10,00,000 - 6,25,000) = 10,37,500		
Total = 18,15,625]		(52,00,625)
PGBP (I)		80,07,375
II. Capital Gains (CG)		
Full value of Consideration (FVOC)		60,00,000
[Sale price = 15,00,000 + 32,00,000 = 47,00,000		
Stamp duty value (SDV) = 60,00,000		
Since SDV is more than 110% of actual sale price, SDV is considered as FVOC as per section 50C		
SDV / Sale price = 127.66%]		
~~(-) Cost of acquisition~~		
(-) Cost of acquisition (COA)		(32,00,000)
[Indexation not allowed since transfer is after 22/7/2024]		
CG (II)		28,00,000
III. Income from Other Sources (IFOS)		
~~Sale~~ Purchase of equity shares of M/s PQR Pvt Ltd. for inadequate consideration taxable u/s 56(2)(x) = [(95 - 40) x 7500]		4,12,500

1Step2 5.5

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24

Particulars	₹	₹
Gross Total Income (I + II + III)		1,12,19,875
Less: Deduction U/s 80JJAA (Note-1)		(29,87,500)
Total Income		83,32,375
Round off		83,32,390

Note

1) Deduction U/s 80JJAA

Same is allowable only if monthly emoluments of employee is not more than ₹25,000 and employee has been employeed for a period of atleast 150 days during the year (since company manufactures leather products). Also, the employees shall participate in recognized provident fund.

1Step3 2

Accordingly, only employees employed on 01/09/2024 are eligible for deduction.

Amount of deduction = 25,000 × 55 × 7 × 30%

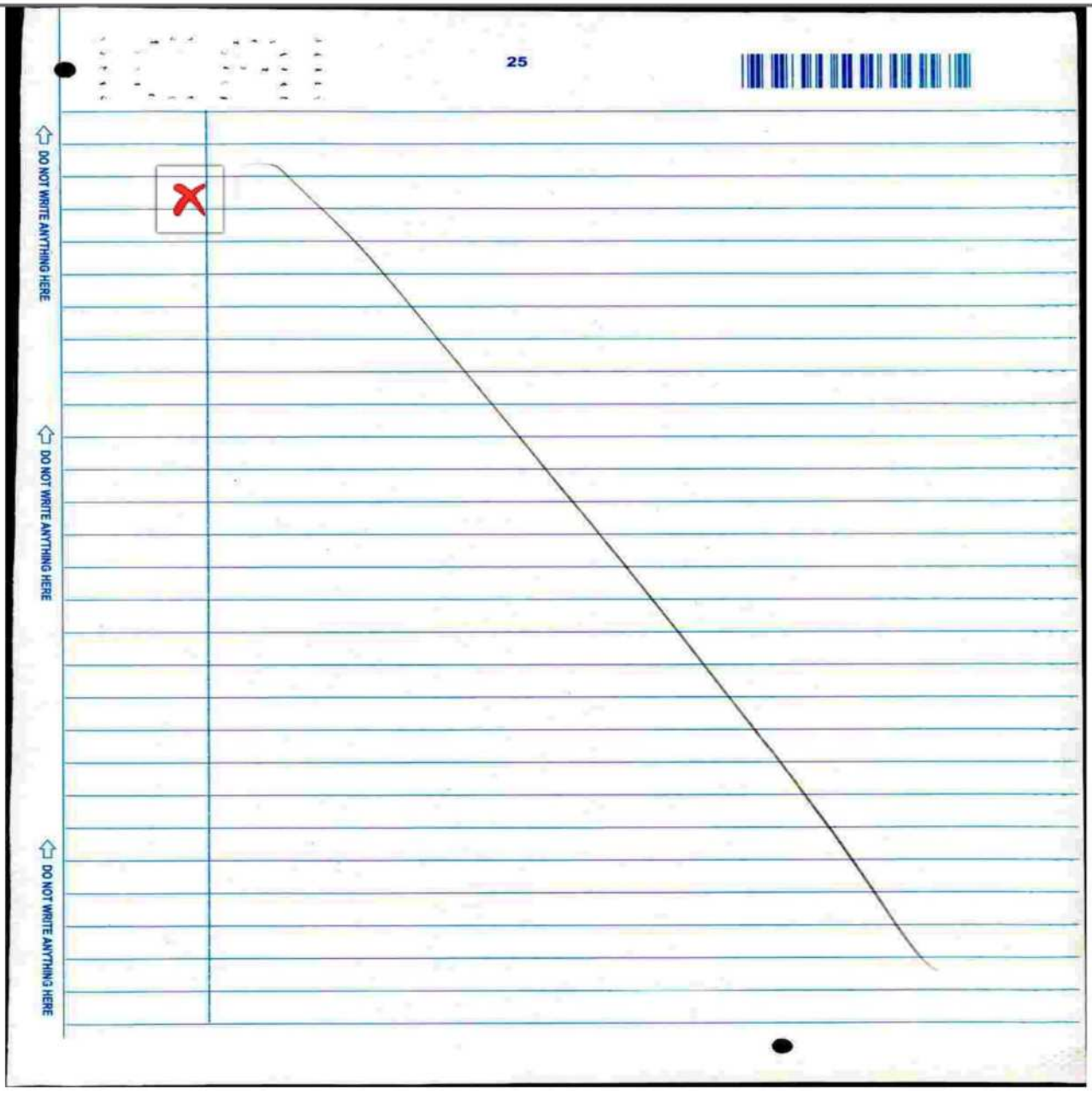
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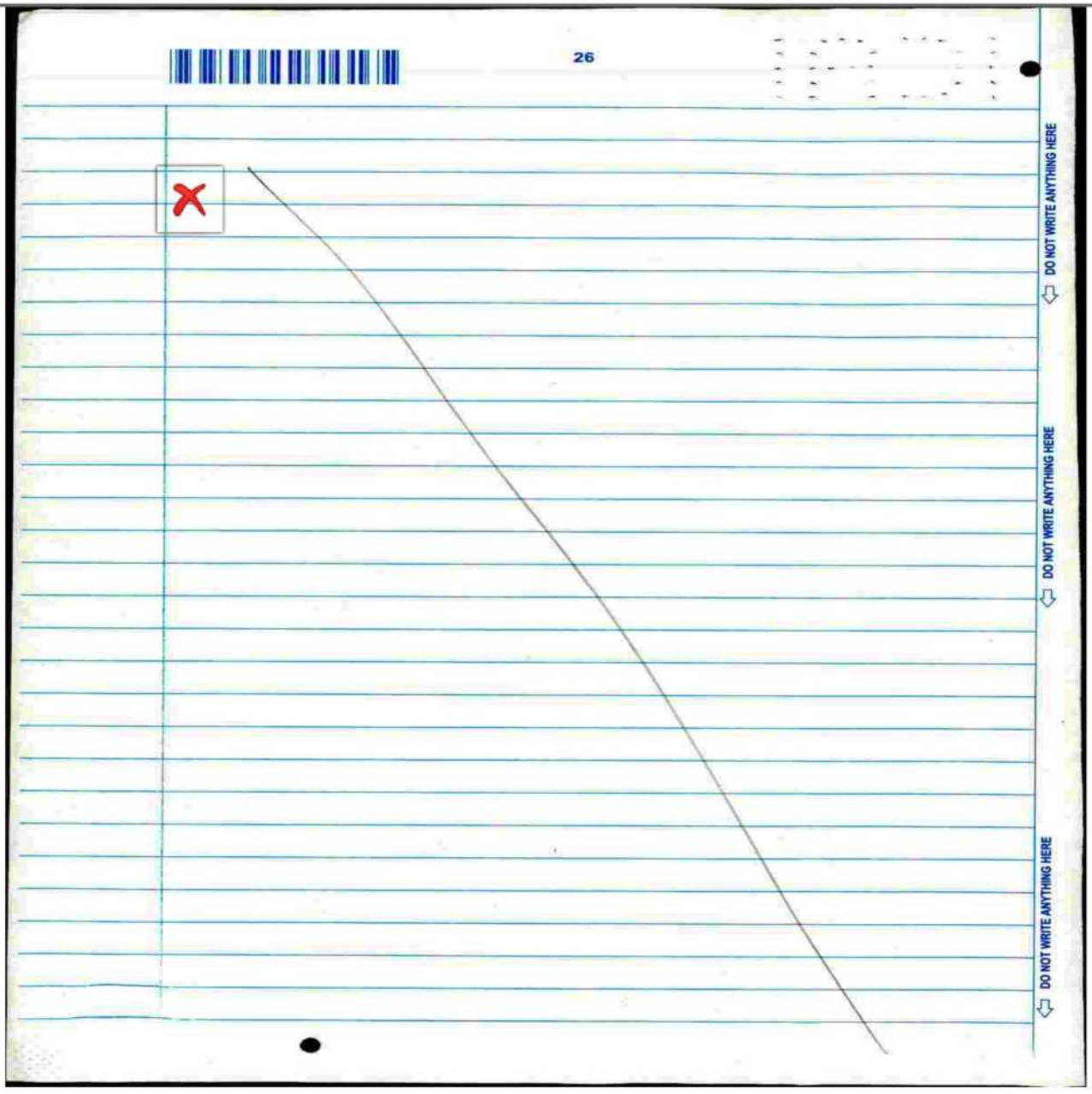
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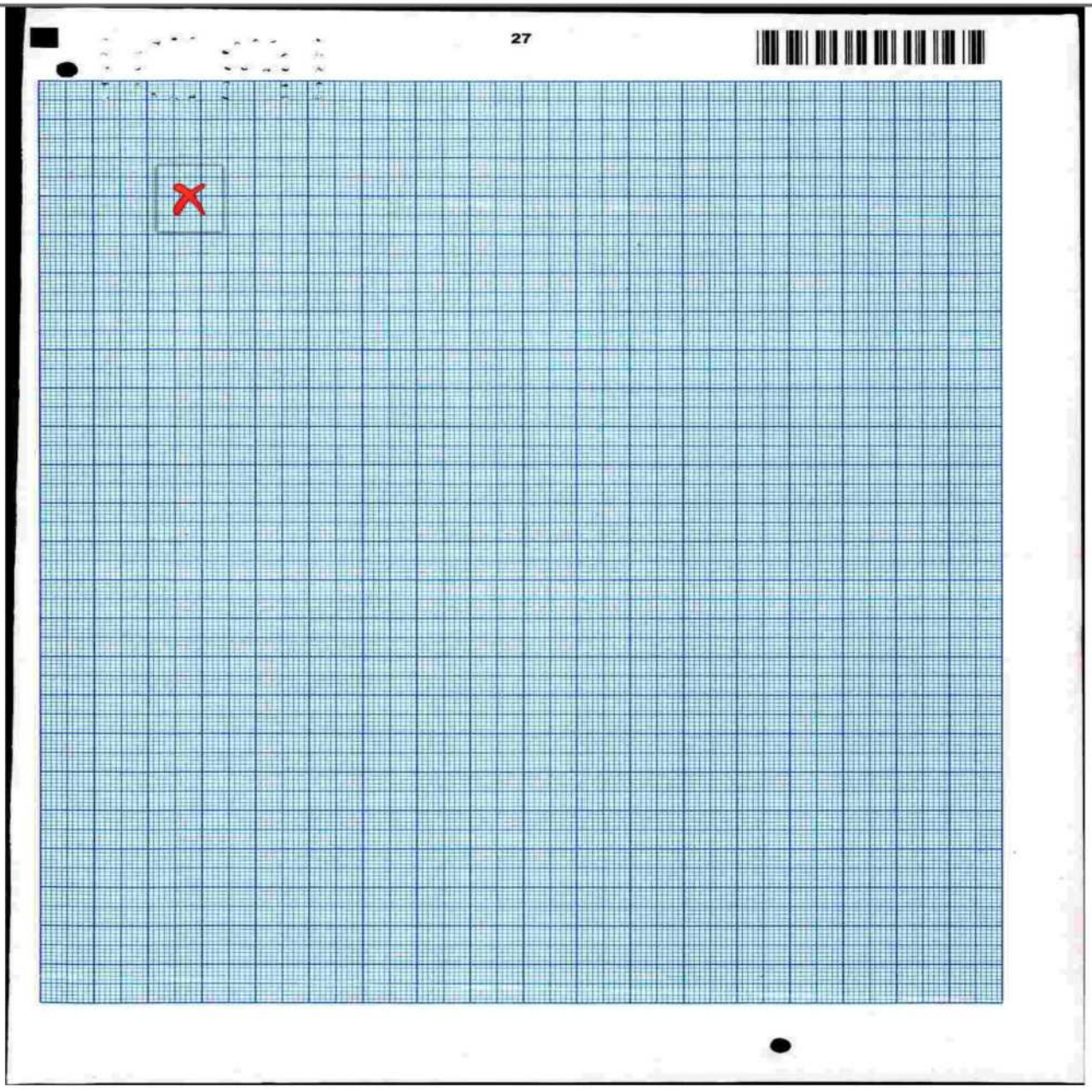
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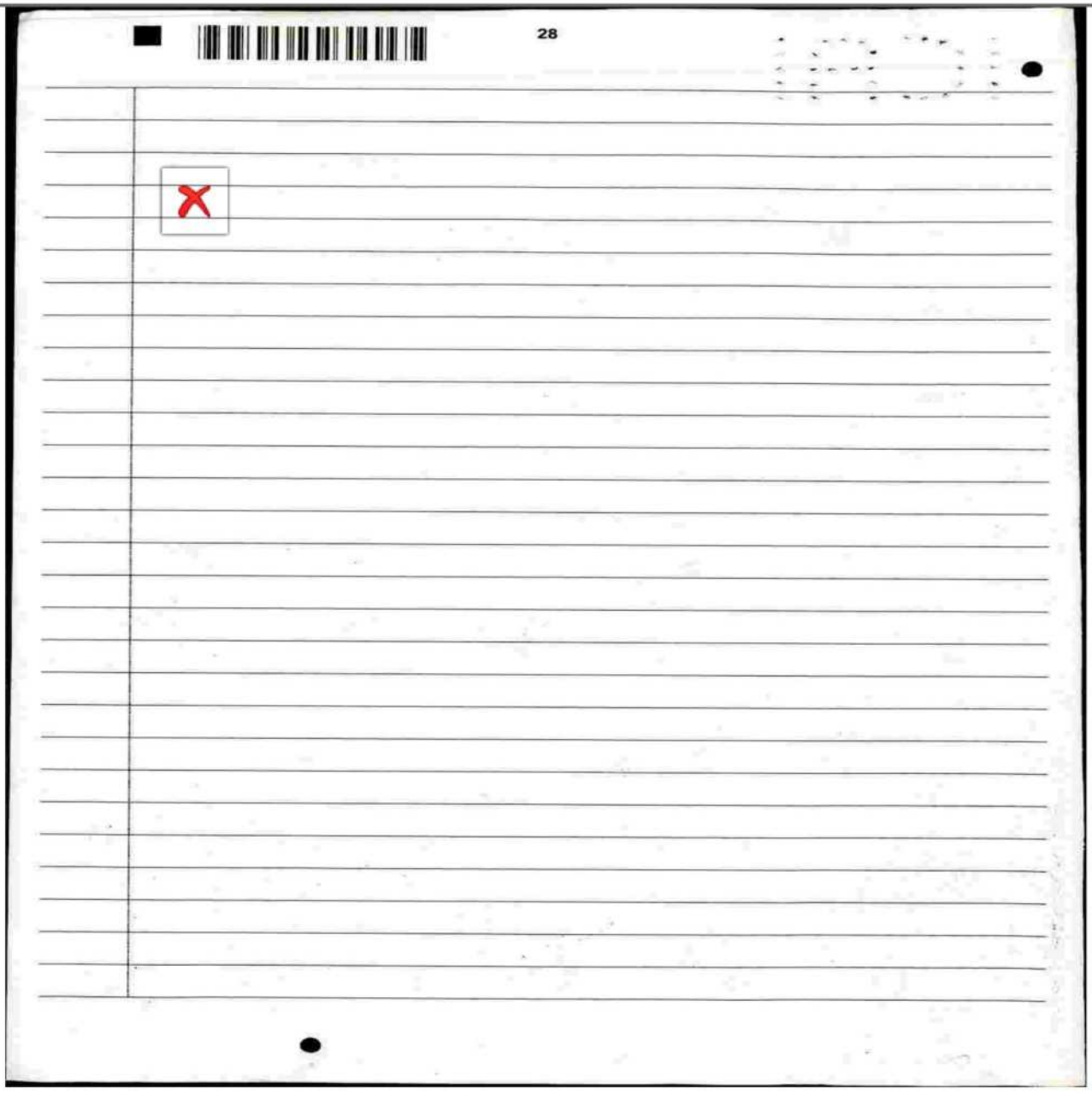
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The Institute of Chartered Accountants of India

Code: FN4DT334244 Total Marks: 70
Subject : 04 Direct Tax Laws and International Taxation Marks Obtained : 50

Result Overview

Awarded Marks: 50 **Max Marks:**70

NA Not Attempted O Optional M Marked

Q1_Compulsory (Score: 11.5/14)

Question No	Awarded Marks	Maximum Marks	Status
1	11.5	14	M

Q2_Q6 (Score: 38.5/56)

Question No	Awarded Marks	Maximum Marks	Status
2	10	14	M
2ai	2.5	4	M
2aii	4	4	M
2b	3.5	6	M
3	10.5	14	M
3a	5	8	M
3b	5.5	6	M
4	8.5	14	M
4ai	2	3	M
4aii	2.5	3	M
4aiii	1	2	M
4b	3	6	M
5	0	14	O
5aiORii	0	4	O
5aiiORiii	0	4	O
5b	0	3	O
5c	0	3	O
6	9.5	14	M
6a	2.5	6	M
6b	4	4	M
6c	3	4	M